

Fundamentals of Finance — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level III

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

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1. The finance function in an organisation

The **finance function** is responsible for raising funds needed by the organisation, deciding how to invest those funds (in projects and assets), and managing day-to-day financial resources (working capital, cash) to keep the organisation solvent while pursuing its objectives — commonly summarised as three interrelated decisions: the **financing decision** (how to raise funds), the **investment decision** (which projects/assets to invest in), and the **dividend/distribution decision** (how much profit to distribute to owners versus retain for reinvestment).

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

ATD LEVEL III — FUNDAMENTALS OF FINANCE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Outline the THREE key decisions typically associated with the finance function. (9 marks)
 - (b) Outline THREE short-term sources of finance available to a business. (6 marks)
 - (c) Outline TWO long-term sources of finance, with one advantage of each. (5 marks)
- (Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes short and long-term sources of finance, the time value of money, present and future value calculations, working capital management, payback period, net present value, a fully worked NPV question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.